Index and Utilization Plan for Ashish's Articles

1. Investment Philosophy & Market Uncertainty

Articles:

- No One Can Predict
- I Don’t Know
- Markets Beyond Control (Car Example)
- The 3 Problem Statement (7% vs. 93%)

Where to Use:

- Website Blog Section (Investor Education)
- Client Email Newsletter)
- Finesse (Masterclass Content)

2. Wealth Management Industry Insights & Reimagining Advisory

Articles:

- Wealth Industry - Reimagine Asset Allocation
- Turning Conventions on Its Head (Risk Assessment Tool)
- Why Are You Against the Wealth Management Industry?
- Open Architecture
- Distributors vs. RIAs

Where to Use:

- LinkedIn Posts (Industry Reform Advocacy)
- Corporate Presentations (Breaking the Mould)
- RIA Awareness Webinars & Events

3. Risk, Asset Allocation & Portfolio Structuring

Articles:

- Risk: Am I Holding Too Much Equity?
- Higher the Risk, Higher the Return?
- Building a Portfolio Like a Cake
- One Wealth Manager - Too Many Cooks
- Regular vs. Direct (Cost Efficiency in Investing):https://www.linkedin.com/posts/ashish-khetan-78391421_how-to-minimise-the-cost-of-your-investments-activity-7161615933826965504-zbmF?utm_source=share&utm_medium=member_desktop&rcm=ACoAACxYyW4B-3ncwibrcWHYv9bvvWQt4A6BzEM
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Where to Use:

- Website Resources Section
- Twitter Threads (Bite-Sized Insights)
- Client Educational Webinars
- Investment Planning Guides for Clients

4. Behavioral Finance & Investor Psychology

Articles:

- The Investor's Worst Enemy is Himself (Benjamin Graham Quote)
- Isaac Newton's Investment Mistakes
- RRR (Required Rate of Return)
- Work-Life Balance & Passion in Work

Where to Use:

- LinkedIn Posts (Relatable Narratives)
- Twitter Threads (Engagement Boosters)

5. Fiduciary Advisory & Ethical Wealth Management

Articles:

- Life of an RIA: https://www.linkedin.com/posts/ashish-khetan-78391421_life-of-a-ria-i-first-came-across-this-activity-7224469871625986049-eWCl?utm_source=share&utm_medium=member_desktop&rcm=ACoAACxYyW4B-3ncwibrcWHYv9bvvWQt4A6BzEM
- Reputation in Wealth Management
- The Fiduciary Model vs. The Commission Model
- Why Distributors Are Not Converting to RIAs

Where to Use:

- Investor Awareness Campaigns (LinkedIn & Meta Ads)

6. National & Economic Perspectives

Articles:

- Nation Building & Wealth Managers' Role
- Efficient Allocation of Capital
- Inflation: The Joker in the Pack
- Purpose of Investment

Where to Use:

- LinkedIn Opinion Pieces

7. Personal Finance Simplified

Articles:

- Scheme Selection - Confused by Too Many Choices
- Investor POV (Personal Experience-Based Investing)
- Purpose of Investment (Needs vs. Wants)
- Of Hustlers, Daily Reviews & the Treadmill

Where to Use:

- Meta Ads Targeting Retail Investors
- Simplified LinkedIn Posts for Engagement
- Serenity Wealth's Email Campaigns

8. Metaphors & Creative Analogies in Finance

Articles:

- Compassion & the Bird's Nest (Wealth as an Emotional Journey)
- Markets Beyond Control (Traffic Jam Example)
- Cricket & Investing (RRR - Required Rate of Return)
- Portfolio as a Cake (Asset Allocation)

Next Steps:

- **Repurpose content** for upcoming campaigns (e.g., Fiduciary Awareness, Finesse Masterclasses, Breaking the Mould Workshops).

- **Format key posts into structured articles** for Serenity's website.

- **Design an email newsletter series**

- **Optimize for SEO & social media engagement** by repackaging articles into shorter posts, reels, and infographics.

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Broad categories of Posts

NO ONE CAN PREDICT:

I DON'T KNOW : The interesting thing about investments is that one invests for future use / consumption and it's well accepted that no one can predict the future.

At all points in time, the decision to buy, sell, stay invested is very personal. So while you may be booking profits from your equity investments, your closest friend might be buying equities.

I do often get asked by friends and family whether it's a good time to invest or for that matter to book profits. Over the years my standard answer has been assess your ability and need to take risk. Assess your tolerance to loss.

Usually they expect a simple answer - a yes or a no And I have a feeling they don't like it when I say "I don't know" - as they genuinely believe that I do.

No I don't. All I know is that each person is different and must keep assessing their risk. And leave the rest to destiny err markets ..

"For once, can you not give a simple yes/no answer?": A friend said this to me, yesterday - almost exasperated. Thankfully we were on a call and not in person. As he might have punched me for never giving him a yes/no answer on his questions around investments

Usually my answers to his questions is "I do not know" OR I get into several counter-questions. Sharing how our conversation went, since while there is a funny side to it, there is also a very important point which emerged from how the conversation went.

Friend - is this a good time to add to equity's ?
Me - why do you want to invest more?
Friend - naturally, I "want" to increase my returns !!!
Me - but why do you "want" higher returns?
Friend - who would not?
Me - but equity can be volatile & returns are unpredictable
Friend - I get that, and I am ok to live through volatile periods.
Me - Ok sure. Why not try and find out how much return you "need"?
Friend - Need??
Me - Yes, by plotting your current finances, your needs, wants, goals etc. What if you might "need" to take an even higher exposure to equity's?

I am not getting into the ideological / philosophical discussion of needs vs wants, but when it comes to investing, while it is ok to go with what (returns) you want, it is good to know what (returns) you need.

So that you are aware that you are taking a higher or lower risk, than what you need to take.

Of course at the end of the day .. □□□□ □□□□□ ..

A legendary investor had once said that: "even if you wake me in the middle of the night and ask me about the market, I will say - I am bullish, I am bullish, I am bullish"

But that's the stuff legends are made of. Ordinary mortals like me say the following: "even if you wake me in the middle of the night and ask me about the market, I will say - I do not know, I do not know, I do not know". As that is what it is.

Now you might ask - what kind of a wealth manager are you? Well. Reality is neither do i know about the markets, nor do I know which scheme will do better than the other.

What?!?! Then why should we hire you - you should ask.
So that we can guide you to be your own wealth manager. At some point, which might take a year, 2 years or 3 years, (it might take forever - we won't complain□) ...
... you should need services of professionals like us, not on a continuous basis, but on a periodic basis. Just to ensure that you are on the right track.

That also allows us to leave our imprint on a much larger set of clients. And that is really what re-thinking, re-imagining the wealth industry means. No half measures. No beating around the bush. No glitzy presentations. No tall claims.

WORK-LIFE BALANCE

Just the other day someone asked me about work-life balance. What I told this person:

> To put things in context, a large part of mankind works to earn enough to be able to eat two square meals a day and have a shelter above their heads. For them these words have no meaning. So when we talk of work-life balance, let’s be clear; we are really talking of the privileged few who don’t depend on work for basic survival

> work-life : the word is an oxymoron. As it implies that when you are working you aren’t living. □

> outside work, there is family/friends and say a passion / hobby. So if we divide our days into 3 parts - sleeping, morning chores, exercise - 8 hours; WORK - 8 hours; family-friends-passion-hobby (what we refer to as LIFE) - 8 hours.

> what if your work is your passion? And in which case if you pull out 4 hours from the 3rd bucket (8 hours minus time kept aside for passion/hobby) and increase the second bucket to 12 hours, chances are you will still be called a workaholic person and someone whose work-life (sic) is not in balance

I end up working 12 hours on most days. Now there have been extended periods (phase) when my work was my passion. And there have been periods when work wasn't a passion anymore. One was merely working for the sake of working.

Naturally productivity was far higher in the former than the latter. And while for the external world, I had a work-life balance problem all through, definitely my life was in total sync in the former. Interestingly in the latter phase, even if was working only 8 hour days, my life still wouldn't be balanced. As when work is stressful and one is working for the sake of working, you are wasting 1/3rd OR 50% of your life on doing something you don't enjoy!

So the key for employees is to make work their passion or build a career around what their passion is.

And the key for business leaders is to create an environment where passionate people thrive

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COMPASSION -BIRD

A bird takes great pains to build her nest. It requires a lot of perseverance and hard work to accumulate the twigs, leaves and grass that go into building the nest.

Likewise, human beings spend a lot of time and effort to build their nest of savings. Years, if not decades spent away from loved ones, go into putting together their nests.

As wealth managers, we therefore must strive to at least match the emotional energy our clients would have invested in building their nests (be it big or small).

Hence (in my view), compassion is amongst the most important attribute in a wealth manager. As only compassionate individuals can truly understand, empathise and appreciate the feelings and experience of another person and would be willing to act on those.

And then, nothing else (products et al) really matters - except doing what is right for the clients financial goals and what is in accordance with their risk need, ability and tolerance.

Just like a bird build her nest: twig by twig...

You too work very hard to build your nest of savings. You end up spending years, if not decades away from your loved ones. In the process, you even make compromises on your health.
So when it comes to investing that precious amount you save, you deserve an investment plan that factors in all the risks. So that you make less blunders, so that you do not abandon the plan mid-way, so that you can march on your investment journey with ease and joy.

Quotes

- “The investor’s chief problem—and his worst enemy—is likely to be himself. In the end, how your investments behave is much less important than how you behave.” - Benjamin Graham

- “More money* has been lost trying to anticipate and protect from corrections than actually in them.” - Peter Lynch

- Albert Einstein once said: “Compound interest is the eighth wonder of the world. He who understands it, earns it; he who doesn't, pays it”.

- "To be or not to be, that is the question" - \quote by Shakespeare applies really well to the enigmatic worlds of NFT/Crypto, AR/VR, Metaverse. In other words "to dabble or not to dabble, that is the question".

- Isaac Newton tried to ride the South Sea Bubble in 1720. He got out of the market at GBP 7,000 after making a profit of GBP 3,500, but he decided to re-enter it thereby losing GBP 20,000 at the end. Frustrated with his experience, he concluded: “I can calculate the motions of heavenly bodies, but not the madness of people”

- “The Dollar is our currency, but it’s your problem” - John B Connally, a former Treasury Secretary, famously told this to his counterparts at a summit in early 70’s. 5 decades hence, his words are still so relevant.

Scheme Selection - CONFUSED BY TOO MANY CHOICES

This is one aspect of wealth management which I have always struggled with. And specially since clients expect you to know which schemes will perform better than the rest.

Just last week, I was helping a close relative to consolidate all his equity investments. His investments were spread over 20 odd schemes and all were in regular plan. I made him open online accounts with 5 large AMCs and we are now in the process of consolidating all his investments (under direct plans).

With him, I could take the liberty of selecting the schemes I have invested in. And my approach is pretty straightforward - I have picked 3 AMCs for their Flexi plans and 2 AMCs for their Index funds - one which tracks the Nifty and one which tracks the mid-cap Index.

For the actively-managed portfolio, I feel I'd much rather let the AMC and the fund management team decide how they wish to manage the funds - both from a market cap bias and from a sectoral bias. Why should I impose my views / biases (i.e. if I had one)?

Left to me, I would follow the same approach for clients as well. As when I start deciding on market cap / sectoral biases, I move from being a wealth manager to a fund manager. I'd rather focus on what really makes the big difference viz. helping clients arrive at their asset allocation.

To add to the confusion, every day one hears of further innovation. Last month a fund house came out with a Mid Cap Quality Index fund. There are many such index funds now available and there will be more which will follow. Each (as per the AMC) has beaten the index in the long term. There is even a name given to this style of investing - factor based investing.

I will be very interested in knowing how you approach this part of the puzzle? Would love to hear from you …

WEALTH INDUSTRY - RE-IMAGINE -ASSET ALLOCATION

What is there to be re-imagined in the wealth management industry ?
1. Re-imagine the structure: Make it wealth-manager centric (bottom-up) from the present top-down system. I am a firm believer in the adage employee-first, customer-second* and if there is one industry where this applies to the hilt, it is the wealth industry.

2. Re-imagine the role of wealth managers:Presently they function as agents of the firm (they work with) whereas they ought to be agents of their customers. As their primary role/responsibility is to help their customers take ownership of their financial futures. The firm plays a supporting role in helping them discharge their responsibility.

3. Re-imagine the importance of asset allocation:while all the marketing decks actually say that it is all about the customer's asset allocation**, this statement needs to be pulled out of these decks and put into practice. Presently it is all about schemes and markets, with scant attention being given to the process of arriving at the asset allocation.

4. Re-imagine the semantics: Semantics matters, at-least in the wealth industry.

4a) A person who earns by way of commissions from the schemes he pitches to a customer, cannot call himself a wealth manager. Now, the law is also very clear about this - they are distributors of investment products. Period.

4b) This is trickier: A person who earns by way of fee from the client, but the firm he represents is forever churning out in-house schemes***, needs to declare - that he is an "advisor albeit conflicted".

The raison d'etre of a wealth manager leaves very little scope for conflict of interest. And if there is a conflict, it ought to be stated upfront in BOLD.

Turning conventions on its head: “from office boys to a fully automated and transparent Risk Assessment Tool”
Amongst the many aspects which form part of the conversations around putting together an investment plan, the following 3 are most relevant :

Returns, risk and cost.
At things stand today, returns hog the limelight of most conversations.
Costs have started to figure, specially since the regulator has brought in direct plans.

However, conversations around risk remain largely conspicuous by their absence.

Interestingly, of the three, returns are the least controllable. And this is true of any asset class and most instruments.

Who is to blame? Clients or wealth managers? In my view, clearly the latter. Irrespective of how a client might respond, we ought not to deviate and ensure they get a good grip both on costs and risks.

I will cover cost in a separate post. This post is about Risk and the process followed to make clients understand what risk is, in what forms it can manifest itself and how it can impact.

Legend has it, that office boys of wealth management firms play a very important role in the risk assessment / profiling process. Why do I say that?

Think about the last time you had engaged with a wealth firm, specially the larger ones. Did you not simply end up signing a snazzy looking risk profiling document ? What happens post ? It lands up in the back office where an office boy ticks the relevant answers - depending on what you or your wealth manager might have indicated ! The poor fellow has a pre-filled template for all the 4/5 profiles you get slotted into.

This would be funny if it weren’t true. So much for the sanctity of the risk profiling process :(

Asset Allocation decisions have close to 90% bearing on return outcomes. And a thorough risk assessment is the only way to get to asset allocation.

Asset Allocation: I had first picked up this word back in 2008, when I was setting up the family office practice of my previous organization, and ever since then, I have stuck to it in every conversation with clients.

I must admit it has not been easy, given the noise levels in the eco-system around you, boasting of possessing abilities to tactically manage portfolios.

I remember losing one mandate (in all these years) as the client wanted a wealth manager who can time the markets. There were many, he mentioned, who said they could. I was honest with him, that I do not possess the ability and requested him to stick to a strategic asset allocation and follow the concept of rebalancing instead.

I did tell him that he can keep a small allocation (#whimwallet) which he can use for such opportunistic bets. After all, we all wish to exercise some discretion on our portfolio. But it's best kept within small limits. Rest should move around the #pivot or in other words - the Strategic Asset Allocation

As wealth managers, what is our role?

1.Sell products which our employer tells us to? Nah. We are then being merely distributors of those products. Perhaps we can don that hat while dealing with sophisticated investors who have their own set of advisors / family offices.

2.Help
clients generate Alpha? Hmmm. I will put it differently. We should endeavour to identify fund managers, who have a proven track record of doing better than the index, over longer periods of time. But nothing in our track record suggests that we have managed to consistently identify such fund managers. Happy to be proved wrong ..

IMHO, our role is:

1. Help our clients decide on their asset allocation. This is where our experience, expertise really comes in. Specially our understanding of personal finance & investor behavior, as both elements are critical before finalising the asset allocation. Serenity Wealth's Risk Assessment Tool provides a comprehensive framework. Try it now
https://lnkd.in/dek5vsy9

2. Help our clients shortlist:
a. Products/schemes (be it mutual funds, pms, aif)
b. Agency from where they can execute investment transactions in a secured & seamless manner, for a nominal cost.
c. Agency which can provide them an accurate and relevant MIS.

While for the wealth managers working for large-format Institutions, points 2b & 2c, would typically be an in-house affair; for those who are independent or working in stand-alone advisory firms, there are myriad

possibilities. And sometimes the best deal or product might be getting offered by a competing wealth management firm.

There is absolutely nothing wrong in making money: What is important is how you make it. Especially when dealing with retail clients. Institutions (B to B model) have requisite teams & expertise to keep a tab. But retail clients irrespective of net worth (B to C model), end up trusting you, specially if you are a known Institution.

Though this principle should apply in every business, I feel it is a "must-follow" in wealth management. As trust is at its core. You approach every customer with a promise that you would do what is right for them.

Unlike the doctors oath, while this promise is only implicit, it is not an easy one to keep. As it has wide ramifications. It requires you to break down every investment advice & be brutally honest to yourself. If you are even remotely playing to the gallery & trying to manage your clients expectations, it is a violation of the implied promise.

About 7 months back, I had a 100% hearing loss in my right ear. I went to one of the best known ENT doc. He put me on a very heavy dose of steroids. When I enquired on my chances, the only hope he gave me (basis medical research) that only since I got to him within 24 hours, I stood a chance. How long it will take, what % of hearing I will get back, he was forthright in his answer - “it’s all quite random”.

But in my profession, even though it’s well known that it is futile to time the markets* or it is hard to say looking at past data, which fund will do well in future, I yearn to come across wealth managers who have the humility to admit that it’s random.

Earlier one would even hear of examples of wealth managers making far more income than what was agreed. Put simply, it was daylight robbery. I vividly remember one of the Institutions getting quite worked up with that description. I had to remind them that if ever a client took them to a Court, it would be a robbery. It didn’t matter how small the amount was.

Thankfully SEBI has tightened the screws. And put the fear of God. Plus, it’s a relatively small industry. Word travels. Reputations get built over time. Sooner than later, you get branded.

Reputation is what we at Serenity Wealth are highly conscious of. Since our work requires us to deal with different types of vendors on behalf of clients, there are those occasional offers of revenue share. As I said, there is nothing wrong in making money, it’s about how you make it. We wish to make it the right way. Only from the clients we advise. Nothing more, nothing less.

*with the exception of a few highly skilled & experienced asset (or fund) managers. IMP- asset managers are different from wealth managers.

If you don't have a high net worth, you likely don't need a wealth manager: You may instead prefer to pay for a financial or investment advisor who can help you grow your money over time.

No, these are not my lines. I was browsing through the website of one of the wannabe wealth firms. Out of curiosity to find out what model they intend to pursue. Jargonization is an issue which plagues many industries. But the wealth management industry has a disproportionate share, which makes it tough-going for those who care for the nuances. For ex. there are two problems with the above lines:

Firstly - an attempt to confuse by making a distinction between a wealth manager and a financial / investment advisor. SEBI has made it reasonably clear. While wealth manager is a more generic word, the regulator says that there can be only 2 types of wealth managers - either an advisor (who gives holistic advice & earns by way of a fee from the client) OR a distributor (who distributes different investment products and earns from the product manufacturer who shares from his profit margins).

The same wealth manager cannot do both. The firm they represent can. The wealth manager hence needs to decide what they are in this business for. To distribute OR to advice. A wealth manger who choses distribution, they can acquire advisory clients and manage the relationship, but they cannot (strictly speaking) engage in the advisory process.

Secondly - it suggests a class bias. While class bias in the industry is a global phenomenon, for a country of our size & diversity, it is a pity that our Institutions consider those below a certain threshold as "cattle class" , not worthy of advice. Classifications such as HNI, Mass affluent, Retail are very real in almost every bank. While the quality & experience of the personnel manning these divisions decreases as one goes down the wealth spectrum (and that is an issue as well), but more than that, it is the quality of products and a high-intensity product push culture which does more damage.

"Why are you against the wealth management Industry": We live in a world where one is getting judged all the time. And where people are quick to put labels, anti-this or anti-that.

So this one was not surprising. Right since I wrote the first post, two years ago, highlighting the gaps, I started getting a good amount of pushback.

As Serenity Wealth completes a year & stands at an important juncture with the impending launch of it's online-advisory, I decided to pen down my thoughts on the above...

I am not "anti" anything or anyone. And definitely not the industry which has been an integral part of me for 25 odd years. I would like to argue that I am "for" the industry, for it's practitioners & for it's consumers.

Just like the doctors oath, when a professional decides to become a wealth manager, there is an implicit oath they take that they will forever work towards protecting their clients interest. The client looks up to the wealth manager as someone who they can trust. Who will be on their side. This is not easy as the wealth manager is on someone else's rolls, who has the responsibility to build a profitable business.

But it is not that tough either. As long as the wealth manager can control the element of greed, without dis-honoring one's time & effort and by charging what is fair.

And in any case, which industry are we talking of? Which.
- even after 10 years of the regulator allowing it to charge fee, continues on the commission model
- reserves its fee-based models for a handful few & subjects the rest to commission-based product push model
- until the regulator finally shut doors to last year, was upfronting several years income, knowing fully well that it led to the most perverse behavior
- after committing a fee, tries innovative ways to earn more
- which sells junk even to risk-averse investors

These are not the signs of an Industry which can deliver on it's promise of helping its customers to efficiently allocate their savings.

But for the handful of the fee-based RIAs, from my viewpoint, the rest of the Industry has not done anything noteworthy which can change its image of being only concerned with its bottom line. There are indeed those few wealth managers who have managed to withstand all pressures & stayed true to their clients. My respect to them.

Arguments such as - this happens everywhere in every industry, or customers are not willing to pay a fee - are excuses. What matters is what you do in the position you are in.

It is indeed a slippery slope, but whether you choose to slip or stay steadfast, is a choice you make. If you choose to slip, then it is your action which perhaps can be dubbed as anti-WM industry.

It is tough building any business. Specially around the ideologies you cherish. You actually end up taking on additional headwinds. But if you persist on the road less travelled, chances are high that you encounter tailwinds which no one had factored in their business models.

Popular definition of wealth management: is a service that provides financial management and wealth advisory services to a wide array of clients ranging from affluent to high-net-worth and ultra-high-net-worth individuals and families.

There are two significant problems with this statement.

Firstly, Wealth management, in practice, (across the globe) is not just about advisory. Distribution of products also gets brandished as wealth management, even though distribution is the antithesis of advisory. The primary purpose of any channel of distribution (the distributor) is to efficiently bridge the gap between the producer of a product & the user of it.

So either the definition should be extended to include distribution OR distributors should simply call themselves so & not as wealth managers. So that the user (i.e. the investor) knows that the channel is representing the interest of the producer of the product, and not theirs.

Secondly, It reeks of a class bias as it excludes those who are not affluent. This too is a global phenomenon. And ironically, banks are at the forefront of this. They sadly reserve their advice only for the rich. Most don't even include the affluent & those at the lower end of the HNI spectrum. For ex, most of the Indian banks (in the private sector - not sure about the public sector models) offer advisory only to those who have min. financial assets of 25 cr. The same is true for the non-banks that are in this business.

The rest, who fall below this threshold get further categorized - into several silos depending on their net-worth - and are only offered distribution services. To me it is ironical, as those at the lower end of the wealth spectrum also deserve advice. In fact it can be argued that they need lot more. But sadly this is where maximum mis-selling happens. The levels of mis-selling are inversely proportional to your net-worth. Not that the super-rich get spared. However, they have far better access to advisory services now, than a few years back.

Am I being idealistic? I often get told so. Idealism in business usually gets dismissed as old-fashioned, as a concept not relevant in the times we are in. I disagree. Specially in my profession, it ought to be the bedrock.

Efficient allocation of capital is one of the important aspects which determine long term success of a nation: And wealth managers play a hugely important role in it. As cut to the chase, their primary responsibility is to help their clients allocate their savings (capital) in different asset classes and once that is done, into various schemes within those asset classes.

This requires a deep dive into their clients finances - income streams, expenses, goals & aspirations, obligations & their financial and behavioural ability to withstand the unpredictabilities of the markets.

If done well, it ensures that capital gets allocated efficiently. If not done well, it leads to mis-allocation of capital, which is neither good for their client nor (when aggregated) for the nation at large.

The sheer size of the moneys involved, financial markets attract all kind of intermediaries. The conscientious, driven by a larger purpose and the casual, driven by greed. It’s important to keep the latter in check and perpetuate the former. The regulator and government play the lead role followed by the industry, specially the veterans and the Instututions.

In my humble opinion, while the regulators and government have done an outstanding job, the industry has a lot of ground to cover.

It’s been over 10 years, the wealth management industry has had the opportunity to shift their business models to the fiduciary fee-based, away from the conflicted commission-based. But by and large, it has chosen to stay put. Even the institutions which have deep pockets and therefore the ability to tide over temporary blip in profitability, have by and large stayed in the commission mode.

Their fee-based offering is reserved for the ultra rich. The rest are expected to figure it out on their own, and are subjected to an onslaught of high cost products, with disregard to their genuine needs.

It is just a handful of stubborn folks, who mainly operate through smaller set ups (and thereby limited by their reach) who are committed to not just the cause of their client, but (I would like to argue) to the cause of the nation. I am told that of the 1000 odd registered investment advisors, just about half are active - of the rest, some are dormant, and some are offering asset class specific advice (mainly equity’s)

This, in my view, should be a matter of concern. For the regulator, for the policy makers, for anyone who really has the interest of the nation at heart. While I remain optimistic, I do wish to see a lot more concrete and constructive action being taken by the regulator and the governments (around enforcement).

: is one that tends or guards a gate, a person who controls access.

In the context of wealth management, a gatekeeper is a wealth manager who is supposed to screen all the fund managers, investment products, services & solutions, do a due diligence, interpret whether they fit into the family's investment framework, and accordingly grant access.

The necessary attributes of a gatekeeper are - trustworthy, experienced, who does not let biases come in the way, does not misuse their position, is not insecure and lets in deserving candidates, even if they are from a competing wealth firm.

I first came across this word, back in 2008 while putting together the framework of the Family Office offering (for my previous employer). That process led me to speak with some of the global majors and also a few unknown, yet top-of-the-global-rankings boutique Family Offices.

While both - the majors & boutiques - stressed upon the necessary attributes and the importance of the role of a gatekeeper, what was clear was that the global majors would be finding it hard to follow the same in the true spirit.

The reasons were not too difficult to comprehend. Institutions, by nature tend to be present in all businesses. Including that of fund management. In fact, most of the wealth divisions housed inside an Institution, get drawn into creating their own product strategies, solutions, & services. And naturally, they would like to believe in & trust their own creation. The relationship managers, find it difficult to avoid allocating to such products and offering these solutions & services, given that the reporting lines are common.

The issue gets complicated as most Institutions also have a large distribution business, where they earn revenue by way of commissions. So, when evaluating external products & funds, while indeed they do their due diligences, an over-riding conversation is around the commission.

I have come across several funds who do not wish to raise money through distributors. As they believe that a distribution-led approach can lead to mis-selling, & the investor might not be fully aware of all the risk factors.

Ideally, a gatekeeper should be agnostic to all this. They earn a fee from the family whose interest they ought to protect so they ought to evaluate all that comes their way dispassionately. As I have argued above, this process tends to get compromised when the appointed gatekeeper has biases embedded into the structure of the organization, they are employed with.

A compromised gatekeeper will not give access to deserving funds, & it does no good to be second-guessing someone you have appointed to guard your wealth. ??????? ????? ??????????? ???????.

Life of a RIA: I first came across this acronym RIA (Registered Investment Advisor) in 2008. When in my previous org'n we were looking at how fee-based models worked in different parts of the world.

Then in 2013 Indian regulator introduced a separate category of wealth managers - who would earn by way of fee from their clients, & not from commissions. It left the markets to figure out things.

It stepped in decisively a few years ago, & took things in its control. By declaring that a wealth firm can only have one mode of earning from “a” client.

Either by way of fee OR by way of commission.

Not both. So the firm & the client had to come to a clear understanding - whether the client only wanted advice on products & the firm would earn by way of commissions on these products it would sell OR the client wanted overall advice on how to plan finances & investments, along with advice on products and the firm would earn by way of a fee.

The regulator also gave the choice to the firm to offer both services (not to the same customer) - by setting up a seperate division.

As things stand today, there are just a handful of only-fee RIAs, i.e. firms which only offer fee-based services. Most, the number would be 99.9%, offer both models.

Why is that? In an ideal scenario, most investors (except say folks who have been connected to the industry OR folks who have cracked the formula that it isn't complex OR folks who work with fee-based advisors), would buy products (or funds) directly from the source, i.e. the fund houses who manufacture these. And pay only their fund management charges. Why will they pay any commission to a middleman?

However, we are far away from the ideal. We are in a phase where it is raining products & deals. And what gets ignored is that investments are nothing but mere means to an end. They are not the end in itself.

To get to that end, you need an investment plan. Set up only for you, as per your unique circumstances. Both legally & logically, only a RIA can help you. Should your plan be achievable only with good old Fixed Deposits, so be it. If it requires large allocations to equity, then, subject to you understanding how that might play out, so be it.

Just a few have stuck to only-fee models. The prospect of setting up another division & selling products is tempting but that goes against their grain. It is a deeply cultural issue, & needs a child-like stubbornness to stay the course.

If you come across such folks, eyes closed, engage them. And liberally connect them to your network.I thought these two pics summarized the Life of a RIA quite well.

RIA's are constantly at the receiving end of the regulator's hammer with several back-breaking compliances. It is what it is. And this is true for every profession. It is a choice one makes, you might not find many making those choices, so be it. But if you decide to be straight, then you also must bear the brunt of the hammer.

Why you can still drown in a rivulet which appears shallow from the outside: The same is true of markets. Commission driven bankers will always egg you towards equity's (simple cold logic - they earn more) by showing average returns of the past (and not showing the horrible patches in between) and by painting a very rosy future.

While the future might still be great, the pathway to that future might have such deep troughs. Which you either aren't mentally prepared for or worse, you need the money in such times. As this man discovers while crossing this rivulet. It's not a pretty sight at all :(

If you must entertain commission driven bankers (as sometimes they do come up with ideas worth considering) please keep this base level human instinct before you - that most (if not all) of the folks driven by commissions, will want to maximise. It's indeed a slippery slope. I have been part of it and trust me it's not easy ! When everyone around you is maximising revenue (and bonuses).

At Serenity we are on a mission to change the skew. Today more than 99% of bankers and relationship managers are commission driven and effectively work as employees of the product owners whose products they sell. The fee-driven are just a handful for a country as large as India. I shudder at the thought of how the ordinary Indian investor would be going about their investment planning. The larger investors still have a modicum of access to the fee-driven.

OPEN ARCHITECTURE

#openarchitecture is an oft-used word in #wealthmanagement parlance.

It implies that the wealth manager is agnostic to the product/schemes and will scan all that is available in the market in a particular asset class and showcase the shortlisted one's.

It is used to convey that the wealth management firm is aligned to the investor's interest.

While this is generally true for mutual funds and now for discretionary PMSs*, when it comes to alternates (long-shorts, credit AIFs, pe/vc funds), most wealth management firms don't seem to be following the concept of open architecture.

Some are even launching their in-house products in these categories - which adds a further layer of conflict.

Until not too long back, this was the case with even disc PMSs but the launch of a few aggregator platforms, forced wealth firms to cover the entire landscape.

Something similar needs to happen for the alternate asset classes as well. Until then, investors must insist on getting an overall view of all products in each category.

Certain wealth firms operate under a NBFC platform and constantly churn out MLDs (market-linked debentures) of the NBFC. Ideally, the wealth manager should put forth all available MLDs to the investor

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https://www.linkedin.com/posts/ashish-khetan-78391421_thinkingaloud-activity-6973496486080724992-ZWyB?utm_source=share&utm_medium=member_desktop&rcm=ACoAACxYyW4B-3ncwibrcWHYv9bvvWQt4A6BzEM

Investor POV

https://www.linkedin.com/posts/ashish-khetan-78391421_checking-out-from-the-large-format-wealth-activity-6979255228172779520-AL3J?utm_source=share&utm_medium=member_desktop&rcm=ACoAACxYyW4B-3ncwibrcWHYv9bvvWQt4A6BzEM

NATION BUILDING:

https://www.linkedin.com/posts/ashish-khetan-78391421_nationbuilding-roleofwealthmanagers-hiring-activity-6984081580705083392-KLOW?utm_source=share&utm_medium=member_desktop&rcm=ACoAACxYyW4B-3ncwibrcWHYv9bvvWQt4A6BzEM

THE 3 PROBLEM STATEMENT

1. disproportionate focus on which schemes to invest in and whether this is the right time to invest
hashtag
#the7percentproblem

2. Unfortunately, little appreciation, understanding of the basics - why one invests in the first place and what proportion to invest in risky investments
hashtag
#the93percentproblem

The interesting challenge, and it's not going to be an easy one, will be to persuade cusotmers to shift focus to solve the 93% and not to over-obsess with the 7%

The one who cracks this at
hashtag
#scale, can well and truly take the credit o

CAN BE USED FOR FINESSE

https://www.linkedin.com/posts/ashish-khetan-78391421_besides-my-profession-the-other-subject-activity-6986618099101773824-Qp-B?utm_source=share&utm_medium=member_desktop&rcm=ACoAACxYyW4B-3ncwibrcWHYv9bvvWQt4A6BzEM

I for one do not agree that in a country like ours ..
> where financial literacy is so low, and
> less than 1 percent of the intermediaries are registered as advisors
.. just having access to financial markets is good enough. In fact, unrestricted access without proper knowledge & advice, can be counter-productive.

DISTRIBUTORS - INTO - RIA (CAN BE USED FOR RIA PART_)

Why are distributors not converting to RIAs*, many have even given up their license?
* Registered Investment Advisors

> LESSER MARGINS
Distributors earn by way of commissions from the products they sell to their clients, whereas RIAs earn a fee from the clients they advice. When clients get down to writing a cheque for the fee, there is this natural tendency to negotiate, even if their outgo is lower. Some even say "I don't care what they make, as long as it's not going from my pocket"

> RECOVERY
RIAs have to collect the fees. Besides the hassle of following-up with clients, and operational delays, some clients might even haggle if they believe their portfolio did not perform well. Whereas commissions get credited to the distributors bank account, bang on the date it is due. Rarely any follow-up is necessary.

> COMPLIANCES
RIAs have to maintain the record of every advice they give to their clients. This is mandated as per law. Strictly speaking, distributors cannot extend advice (except what is incidental to the product they are selling), so compliances in general are less.

> NO DIFFERENTIATION
While distributors cannot render advice (except what is incidental to the product they are selling), at a practical level, they still do. So as far as the client is concerned, there is no clear differentiation.

SO WHAT SHOULD BE DONE?
A customer education campaign on the conflict of interest a distributor has vis-à-vis a RIA - something on the lines of MF Sahi Hai, would be great.

Besides, I have a simple suggestion to make:

DOCUMENT THE NATURE OF THE RELATIONSHIP BETWEEN THE CLIENT & THE DISTRIBUTOR.
The RIA has to enter into a fairly detailed agreement with the client. Why not make it mandatory for distributors to have a simple one-page agreement where it is stated in BOLD:

"This agreement executed on _____ at ____ by & between XYZ Private Banking & Mr./Ms _____ ; whereas XYZ PB is a distributor of financial products ; client has approached the distributor to showcase investment products; client hereby appoints XYZ PB as a distributor; XYZ PB shall provide the services in professional manner based on his understanding of client's requirement; XYZ PB has explained to client that it will earn its income by way of commissions on products the client buys from it; and that the rule of caveat emptor shall apply to this relationship"

I think this will be a good way to level the field. What do you think?

It will be interesting to see how things pan out. The RIAs are at present outnumbered and outrun by the sheer size and reach of Distributors. What is at stake is the hard-earned wealth of WM customers and dignity of the WM profession.

Customers who are aware, can also play an important role in spreading the word. Employers can chip in as well and make their employees more aware. Of-course, some of the new wealth start-ups can show the way…

Of hustlers, daily reviews & the treadmill: A friend of mine, was talking about his experience of dealing with wealth management firms, globally. He has now been with one wealth manager for nearly a decade and takes credit for getting his WM off the treadmill several years back. He gave his wealth manager the confidence that he should go independent - and even spoke to a few clients on his behalf, as while he liked him and his approach but could see he was clearly frustrated with the treadmill.

His WM eventually decided to quit his corporate Wealth Management job and decided to join a practice-oriented firm. Which is advice-only, does not have any in-house products, and has tie-ups with a few large firms for execution of trades. Overseas this model is fairly prevalent and it gives the investor the best-of-both-worlds. An independent advice-only firm and at the same a large institution for custody and execution.

Over time, his WM has managed to move most of his clients, makes as much money, has much more time to himself. He still is on a treadmill every day - but the one in his Gym !

My friend also made a very unique & interesting suggestion on how to select a WM firm -

>>> Figure out how frequently the WM gets reviewed and what gets reviewed...

I could so relate with it. I have seen firms who do daily reviews and run daily sales trackers (sic). And I have seen firms (just a handful) where the reporting manager, at best, does a monthly formal catch-up. I am a believer in the latter. One firm (I won't like to name) clearly stands out in this - they were a very dominant player during the early part of my career, had the stickiest client base, it was impossible to poach their wealth managers. Absolute top-class pedigreed private banking!

So yes - please speak to your Wealth Manager and find out their day-to-day routine. What kind of hustling they have to endure every day. And give them the confidence of getting off the treadmill. It is a win-win!
RIA License: A recent circular from the regulator has stirred up the fledgling RIA (Registered Investment Advisor) industry and set the proverbial cat amongst the pigeons.

A concerned friend reached out last night, and was suggesting alternatives. “I had told you. RIA is not worth it! Give up your license & move to the distribution model. The whole world is doing wealth management that way”.

He is right. Going by the stats, the whole world indeed seems to be doing wealth management that way. As per my estimate, 99% of wealth managers are “distributors” and at least 90% of the aum (non corporate) would be under the supervision of distributors.

But that way is really not the way to do wealth management. It’s simply distribution of financial / investment products. They earn when clients buy a product from them and that in my books. is a serious conflict of interest.

I would go to the extent of saying that a distribution based wealth management model is ANTITHETICAL to the concept of wealth management. It is like “void-ab-initio. A distributor’s focus is to distribute a product. And that’s absolutely ok. Nothing wrong with that. Except when .. #

However, wealth management means a lot many things MINUS distribution. As per Investopedia, wealth management is an investment advisory service that combines estate planning, investment advice and tax planning to preserve the client's wealth for them and their family.

At the end of the day, each of us needs to decide what works for us. The distribution approach simply never worked for me.

So there is absolutely no question of moving to any other model. RIA is the only model.

Yes, there are several constraints. And ironically so. But I am confident that the future of Indian wealth management industry will be built around the RIA practice.

Taking the path less travelled: not deviating from your principles and ideals, whatever be the consequences – some of these things look good on paper & in movies. □□□ □□□□ □□□□ □□□□ □□□□ □□□□□□□ (the movie is based on a true story) □□□□□□□□□□□□ □□□□ □□□□□ □□ □□□□□□□□□□□, □□□ □□□□ □□□ □□□□□□ □□□□□□ □□□□□□□ □□□□□□□□ – □□ □□□□□□□ □□□ & □□□□□□ □□□ □□□□□□□□.

Especially so, when you have been part of an industry known for its' fairly high pay-scales. And despite that, where dishonesty is considered as par for course and where playing with trust of clients gets rewarded. “□□□□□’oing” products & schemes to gullible investors, is what determines your incentives.

What makes the comparison even starker is that □□□ □□□□□ □□□ □□□□ □□□□ □□ □□□ □□□ □□□□□□□□□ □□ □□□ □□□ □□□□, □□□ □□□ □□□□□□□□□□□ □□ □□□ □□□□ □□□□, after all. Yes, you will make a little less, you might not get your promotions – as the organization runs the risk that you will then promote your idealistic □□□□□□□□□ & □□□□□. But nothing compared to the price the protagonist in the movie (almost) ended up paying.

□ □□□□□□□ □□□□□□□□ □□□□ □□□□□□□ □□□□□□□□□□ □□□□□ □ □□□□□ □□ □□□□□□□-□□□□□□□□□□. As at the heart of our profession lies guiding clients to take ownership of their financial futures. Investing for the future is one of the most important things people can do for themselves and their families. Which has a direct & critical impact on the health of the society.

So, as we step into a new year, as India, our beloved country wakes up to a new dawn, □ □□□□ □□ □□□□□□□ □□□□□□□ □□□□□□□□□ □□ □□□□□ □□□ □□□□□□□□ □□□□□□□. As Gauri bhaiya in the movie says "Restart, Restart, Restart".

□□ □□ □□□ □□□□. Sometimes you might even feel like hurling a shoe or two at those who rule the roost – like the protagonist’s father actually does□. No, please don’t do that !

While it's not that easy, □□ □□ □□□ □□□□ □□□□□ □□□□□□□, friends

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Markets beyond Control : CAR EXAMPLE

“…. when the dirty glare turned into a sheepish acknowledgment"

Just the other day, this person (one of those archetypical opportunity-seekers you find on the roads) behind my car started honking. Apparently, he had spotted an opportunity ahead and wanted to exploit it, to his advantage. It took me a few precious seconds before I could give him the way. He moved on at top speed, giving me a dirty condescending glare and mumbled something I could not hear. I went back to my lane and to enjoy 94.3 - my favorite FM channel. I could see this chap dodging a few more cars, as he faded into oblivion. Good for him, I thought.

About 10 km ahead, I came to a stop at a signal and generally looked around. To my utter surprise, this chap's car was right next to me. I tried hard not to grin and winked at him. The glare was gone. It was now a sheepish acknowledgment. But then, old habits die hard. As the signal tick-tock'd to green, he started to rev up his engine, in preparation for the opportunities that lay ahead.

When stuck in the traffic snarls, often I have wondered if I could somehow zoom out of my car and figure a way out. It is indeed frustrating. I have, however, over time trained myself, to reconcile with the obvious - that the variables are beyond my control and I'd rather focus on what is in my control - my behavior pattern and my resultant action (or inaction).

Having now spent well over two decades in the markets, I have arrived at the same conclusion - that the market (be it debt or equity) variables are beyond my control, and I'd rather focus on my purpose (of investing) and my personality (behavior pattern). Hence, I allocate as per my risk need (derived from my required rate of return) and risk tolerance. And periodically, adjust the allocations post-facto (what is known as re-balancing). I have also allocated a certain amount to a hedge fund manager - perhaps one of the rare individuals who has demonstrated the ability to predict market cycles and adjust the portfolio pre-facto, in a manner that I still get equity like returns but with far lower volatility.

I see a lot of wealth firms (including some of the new age one’s) giving calls on the market - but no one comes even remotely close to this fund manager's temperament or process. So why waste time on heeding to those calls - they of-course are fodder for an interesting discourse over world economy, central bank's action/inaction, India story etc.

We plan to follow the same approach at Serenity Wealth. We'd rather focus on the relevant, and dissuade our customers from spending time and money on a subject, which no one really has any handle on. At best, have a small allocation to a "whim wallet" for indulging in opportunities.

ONE WEALTH MANAGER - TOO MANY COOKS

I am helping a close friend bring about some method to his wealth management affairs (madness).
One of the reasons why his affairs are all over the place is that he deals with many wealth managers. He applied the logic of not putting all eggs in one basket and split his wealth across 3. Besides that, there are at-least 4 more as he has done some or the other product through them.

Getting a consolidated picture of his portfolio has been a huge challenge. And then, everyone has a different take on products and markets.

Initially when he approached me for help, he was of the view that having multiple wealth managers helps, as everyone is on their toes. The industry, strangely, plays up this argument. Perhaps out of fear of being left out. And they are happy settling down with a far lesser wallet share.

It's just a myth that one needs many wealth managers. No. You need just one. Who works as an advisor. Earns only from you. Helps you straighten out your objectives, purpose; helps you understand your personality and behaviour pattern; helps you arrive at an investment policy. Accordingly select the right products from all across. Sits with you in meetings with asset managers and wealth managers who might have unique products to sell.

Importantly, helps you set up an execution framework. Ideally with a large institution which is secure, paperless and seamless, and under direct. Helps you set the process for MIS. And very importantly helps you to ensure that after you, your assets move seamlessly to your loved ones.

What about market timing? Well, it's great if someone can help you with that, but I am yet to come across anyone .. if you find someone, please let me know.

One big misconception amongst investors (and sadly played up, specially, by the big boys of the wealth management industry) is that wealth managers are also fund managers. No, the two are very different. In fact I would recommend that you stay away from wealth managers who have their own in-house fund management - it's a clear conflict of interest.

As a result of this misconception, theories like "not putting all your eggs in one basket" get put forth.

Instead what investors should be wary of is another theory, when it comes to their wealth management affairs - "too many cooks spoil the broth".

Please keep it simple. It’s not that complicated after all. Find someone you can trust, ensure your and their economic interest is aligned. Focus more on putting together your investment policy. And less on schemes / products.

RRR

Team B's required run rate is 10 per over. It is simple to calculate. 60 runs to get and 6 overs remaining. Given the number of runs being scored in the death overs this IPL, a run rate of 10 per over seems quite achievable. And even more so, since 9 wickets remain. Fans of Team B would be hoping that they do not do anything rash or risky.

But then, cricket is just a sport, after all. And each team gets 14 outings. They can make amends for blunders, recoup and get back in the fray. We have seen that unfolding ever so often.

That is not the case when it comes to our individual investment journey's. Blunders set us back. And some times by quite a margin, which has a far reaching impact - on our well being, on our family, on our lifestyle. And unlike cricket which is team sport, we are on our own.

One big challenge before us is whether we even know what our required run rate is, err required rate of return. I really doubt.

Also, unlike cricket, it is not such a straight-forward calculation. There are several moving parts to it- our earnings, taxation, our regular expenses, what growth we expect in our earnings, inflation, until when we expect to earn, our goals & aspirations, EMIs we pay etc. etc.

Until we do not know what is the required rate of return we ought to generate, ceteris paribus, how do we even plan our investment journey.
Going back to cricket, Team B knows that its #rrr is 10, and will plan their next 6 overs accordingly. But how do we plan our investments without knowing our#rrr ???

> what if our investments are geared to generate much lower? We will fall short of fulfilling our goals and meeting our obligations.

> worse, what if our investments is geared to generate much higher? And therefore, are we taking a lot higher risk than what we need? It is like saying that Team B attempts to finish the match in 3 overs. Won't it be foolish on their part? Whether we are being foolish or not, we won't know, as we do not know our #RRR ..

Estimating the RRR is the first step and wealth managers ought to be able to help their clients figure that out. Rest follows later.

One crucial insight - estimating our #rrr has nothing to do with the markets and what returns can be expected. It is only and only about us.

RRR is the required run rate: Simply divide the target by the number of overs. So 215 / 20 = 10.75

That's easy to calculate. Most won't even require a calculator. But that's not the case for the RRR, when it comes to your investment plan.

No not the required run rate, but the required rate of return. The minimum return an investor "needs" to generate on their savings to ensure they can meet all their goals and aspirations.

Please note that it's not about what one's "wants" but about one's "needs". Interestingly it has absolutely nothing to do with the markets. It is only and only about one's finances - income, growth rate of income, expenses, inflation, emi's, financial goals, retirement age, etc etc.

Arguably, it's THE most important number for those investors who depend on investments and how will they perform, for meeting their goals and aspirations.

What if your current portfolio is geared to generate lower return than your RRR ? It could imply that you don't end up achieving all your needs

What if your current portfolio is geared to generate higher returns than your RRR? Not bad, but do you really need that extra return? Can you absorb the extra risk ?

The phenomenon of "Required Rate of Return (RRR)" - conspicuous by its absence: I will admit, one of the biggest discoveries for me, after I turned to entrepreneurship and decided to deep-dive into the best kept secrets of the investment world, was the phenomenon of Required Rate of Return.
Until then what I had got exposed to was the following:

- most of the wealth management firms (specially the larger ones) would focus on finding out Risk Tolerance (albeit for many it was a mere tick-in-the-box exercise to satisfy compliance requirements) - basis which they would decide on the asset allocation. Even if they took the financial data of clients, it was for compliance reasons - KYC or AML purpose.

- the one's oriented towards financial planning, would do what was known as goal-based planning, where you would be asked to define your future goals, and depending on how close and further those goals were, they would make a goal specific plan.

The former was relevant only for those who have enough and more and can afford to live their life comfortably, even if they kept all their money's in the bank. So one could argue that why bother to get into

their finances. However, as I have realized, this was a misplaced assumption. Fundamentally speaking, how do you know what is enough?

The latter, I always felt, was intuitively appealing but was overly simplistic to the point of being mis-leading. This approach somehow left me (as an investor) feeling heavy and somewhat dis-empowered.

Last 2 years journey has been a revelation. It has led to some very interesting conversations, which the below banner signifies. It is fascinating how this phenomenon has remained elusive. One reason I feel is that it does not come naturally to the listener. And it requires a certain level of detailing regarding one's finances, and investment of time.

But at the end of it, if one does it well, it leaves you with a return number which sets you up very nicely on your investment planning. Of course there are a few more things to be considered, but getting your Required Rate of Return (RRR) is half the battle won.

Let me put it this way - imagine in a limited overs cricket match, the team batting second is asked to simply chase. They are not told the target. Just go out there and hit. Sounds weird right? Once they have the target and the no of overs they have to achieve it, they know the required run rate, per over.

The Required rate of Return per annum does exactly the same. Just replace runs with return, and overs with years. I can tell you confidently, that you will experience that Aha moment, like all of Serenity clients have.

Building a Portfolio

Like A Cake: Building a portfolio is like baking a cake. You have to have all the ingredients in the right proportion.. *
..getting all the ingredients in the right proportion is true of almost everything - be it building a company, our diet, our lifestyle, managing an economy, constructing a building, drawing a painting, or for that matter baking a cake.

And it is never easy, given that the world around is noisy and in a state of flux. We are getting our proportions wrong all the time and that is ok. The key is whether there is a semblance of orderliness or not.

Same is true for investments. A 5-10% variance is fine but anything beyond can lead to blunders. As one of the keys to investment success is about making lesser blunders.

So, how to get the proportions right?
Even before that, what are the ingredients?
The ingredients would vary depending on what is the purpose of investing, which can be (broadly speaking) two-folds:

1. one has enough and more in life. And for all practical purposes, can park the investments in a savings bank account. It then boils down to how much return one wants and whether one can tolerate the risk that comes with it.

2. this is true for a small section of the society. For the rest, a lot depends on how well their investments do. for some it could be being able to send their children to an Ivy league college (instead of an Indian university), for some it could mean being able to buy their own house, to ensure their children get quality education in a private school, or to simply ensure that they can take care of their retirement years without a drop in lifestyle.

There is a lot riding for those of us who fall in the 2nd category. It is about being able to meet our needs, our aspirations, our obligations. For the one's in the 1st category, it won't make any dent in their lifestyle. That is not to suggest that they can be careless or reckless. However the ingredients would vary.

When I see the wealth management landscape in India and what the focus of the community has been, thus far, there has been very little thought put to these questions - which (as per studies) have a 93% impact on return outcomes. Bulk of the focus has been on schemes and tactical calls on the market which account for just 7%.

And the reason is not difficult to comprehend. Bulk of the wealth management community (99%) makes its income only when you by a product. Just about a handful of them (1302 to be precise - which accounts for 1% of WM professionals) make their income from you.

They are called RIAs - i.e. Registered Investment Advisors who are sanctioned by SEBI to offer holistic advice. The rest are legally barred from giving advice and rightly so, given they are agents of the schemes they sell.

So, to ensure that you have all the ingredients listed down, & in the right proportion, get a RIA on your side.

INFLATION:

https://www.linkedin.com/posts/ashish-khetan-78391421_inflation-wealth-management-inflation-activity-7233330337886461952-Xer8?utm_source=share&utm_medium=member_desktop&rcm=ACoAACxYyW4B-3ncwibrcWHYv9bvvWQt4A6BzEM

Inflation is arguably the biggest joker in the (financial planning) pack: Serenity Wealth's "Risk Assessment & Investment Policy tool" - an end-to-end financial-retirement-investment planner, naturally factors it in.

Recognizing that inflation rate is not necessarily the same for different categories of expenses, we provide the flexibility. For ex., inflation rate for the day-to-day essential living expenses can be very different from things like education expenses or funds set aside for medical emergencies.

Hypothetically speaking, only to drive home the point, if there was no inflation, money you save today (and during your earning years), can simply be put under the pillow (effectively in your savings account) & pulled out when needed.

Fact is that things get expensive, over time. For different reasons. We will not get into those reasons now. Besides, you also upgrade your lifestyle overt time. To fund the above two, ceteris paribus (i.e., your primary earnings & expenses remaining same) you invest what you save in different instruments, mainly bonds & stocks.

With the help of a un-biased advisor, you then decide the allocation between the two. Bonds give low but predictable returns, stocks gives higher but unpredictable returns. Remember stocks also give higher commissions, therefore important you pick the right advisor!

Now, the key figure in the above decisions is the "inflation rate". To start with, we suggest 6% - which is the average consumer inflation rate over the last 10 years. But that is an assumption. If the average inflation rate turns out to be the same, or better still, lower, that is naturally great. But what if it turns out to be higher?

While neither we have a crystal ball nor we claim any expertise in predicting the future, Inflation rates are proving to be far stickier than expected. USA is a prime example, where the views of their Central Bank have turned 180 degrees in past few months.

So now what?
Compute your own inflation rate. Pull out your bank statements over last 3/4/5 years. Tag the various expense items. Bunch the common one's. Ignore the one-time expenses. And see for yourself how your expenses have grown.

And then what?
First & foremost, use our tool & compute the minimum return you require, given this inflation number. Second, see if you are comfortable achieving that return from your investments.

Better still, dig deeper into your expenses and see if you can chip away at some of the items.

Do not fret much on which equity scheme is right & in predicting markets. Instead, spend that time in making yourself familiar with your inflation rate. As that is the real joker in the pack!

PURPOSE OF INVESTMENT:

You invest not just because there is an equity market out there. By that logic there are many markets (financial and non financial) .. why not invest in all ?

You invest in the equity markets to achieve a certain purpose.

While for some the purpose could be simply to create wealth (which the law of compounding does, more than anything else, if equities are held for very long periods) …

… for many it is about plugging the shortfalls between their current & future needs. When your current & future expenses (after factoring in inflation) are such that they can't be met from your primary earnings (which you earn for a limited number of years) then equity markets offer an avenue to bridge that shortfall.

But it comes at a price, which is called volatility / fluctuations, and requires a certain personality demanding both patience & understanding.

Hence, only if your purpose demands and if you are aware of the personality it takes, invest in equity markets. The answer need not be binary. It could range from 0 to as high as 90%.

And for that, you need to first and foremost know what is known as "Required Rate of Return (RRR)". The minimum post-tax return you must earn on your savings to achieve your purpose. A low RRR of say below 4-5% means you can do without investing in equity (a case can be built for a small allocation), a RRR of 8-9% means you need to invest about 50% in equity, subject to you having or developing the personality necessary for such exposures.

A RRR of above 11-12% or higher means you urgently ought to rework your personal finances. Reduce current or future expenses or increase your primary source of earnings. Equity market returns can't and shouldn't compensate for your inability to increase earnings or your inability to reduce your expenses. Don't become a victim of a wealth manager who is selling you hope. Be rest assured, neither he nor his firm knows the future. Either they are being intellectually dishonest or they don't have the courage to say they don't know. Also remember commissions are far higher in equity products.

At the risk of sounding arrogant (but not even remotely being so) we haven't come across any online tool which helps you to compute your RRR, except what Serenity Wealth has built. Why, what is so special? Simple answer - it takes time. People demand quick fix solutions. So most platforms cater to that demand. We prefer to play by the book. Anything less than that is being dishonest with the profession.

Yes, investing is simple but that's the how and where part. There are critical steps to be taken before you get to the simpler parts

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RISK

Am I holding too much equity? Should I reduce?Came across an article with the above title, written by a financial planner. The article, underscores a couple of important points: (1) don't compare your portfolio with others as these decisions are personal & comparing with anyone, especially HNIs is not a good idea as they might have already achieved financial freedom & are now investing based on their risk tolerance (ability to withstand volatility of equity markets).
amaz
2) the article talks about portfolio rebalancing, a oft-ignored but a simple yet very powerful tool available to investors without any expert guidance.

However then it gets into the laborious aspects of financial planning which in my view have stunted the growth of financial planning industry. While the intent of financial planners cannot be doubted - as they work for a fee from the client and hence interest is aligned, I feel they too have a tendency to complicate or over-intellectualize. Perhaps this stems from an impression, amongst investors, that financial planners (or for that matter, wealth managers) know more about the markets , and instead of correcting that impression (aggressively), the community prefers to perpetuate, leading to a "mystique" around them.

Here is why I say so. The 1st step in any financial planning exercise ought to be establishing how much risk a person needs (RISK NEED) which is derived from the "return they require (or need)".

Any project (across industries) must have what is known as required rate of return, the minimum return the project must generate in order to be viable.

Investing is like a project. You undertake this project to earn a certain return. So that you can achieve your financial goals. YOU UNDERTAKE THIS PROJECT TO REDUCE THE RISK OF NOT ACHIEVING YOUR FINANCIAL GOALS.

What if you were to let your money lie in fixed deposits. Now the wealth manager in me will say that your return after paying taxes, will be below inflation rate. But what if that works for you?

What if your earnings are good enough, expenses are within limits, your future goals are such that you can do with Fixed Deposits.

When you undertake the project of investing beyond the typical savings instruments (like PF, NSS, EPF, I would include FDs with high quality banks) you enter an uncertain world, on which neither you nor your advisor has any control. This world can collapse temporarily (thrice in India's history of last 25 years) or for a long period of time (US - 1929-1942; Japan - 1989 - until recent).

Hence, as a starting point, you OUGHT to know what is that return you require to cover the shortfall should you stick to the savings product.

This return translates to your RISK NEED.
Step 2 - can you TOLERATE the risk that comes with this return?

Step 3 then leads you to how much equity you need.Remember investing is the means to an end, not an end in itself!

Higher the risk, higher is the return! Risk & Return go hand-in-hand: You would have heard these lines some time or the other. They are very commonly used by the investment industry to prepare investors to take more risk (in equity) so that they can get higher returns. It is assumed that there is a linear relationship between risk and return. So as risk goes up, return will also go up.

However, this relationship breaks every now & then. While in the very long run (10/20 years) this relationship has held true in most equity markets (there has been at-least one infamous exception), in the in-between periods, there have been many occasions when "Return" has simply shrugged off "Risk's hand" and drifted away in the opposite direction.

The legendary Howard Marks summed it up succinctly in one of his memos, when he said that when risk goes up, what goes up is not the return, but the range of return outcomes - including the bad to the very bad.

So does that mean one should not take higher risk and invest in equity's? Of-course not. One should. But with full awareness of the likely outcomes in the in-between periods.

While it is true that many a households have gained substantially by investing in equity, many a households have also been destroyed. And with ever-increasing access to investment platforms, it becomes even more incumbent on all who are part of the Investment Industry to make that extra effort to explain the relationship between risk and return.

Regular Vs Direct:

***How to minimise the cost of your investments?*:** It is crucial that your returns are not eroded by un-necessary fees or expenses. One of the very popular vehicles for investing is mutual funds. But did you know that there are two varieties of mutual fund plans available - regular & direct, and the choice between these can significantly impact your investment returns. We don’t see any justification for anyone buying into regular plans and we have explained our reasons below.

Regular vs Direct
Buying into the ‘regular plan’ is like buying a product through a middleman (bankers, distributors, brokers), who will have their commissions added to the cost of the mutual fund scheme. Importantly, you pay for these commissions not just at the time of purchase – you pay for them till the time you are holding the mutual fund scheme.

On the other hand, buying into the 'Direct plan' is like buying the product directly from the manufacturer who makes those products, with no middlemen. Naturally, the cost is lower and since you save on the middleman's cost year-after-year, the difference really adds up. *But then, how to select the mutual fund scheme, who will guide, who will do the paperwork?*

It is a well-established norm in the investment industry, that asset allocation decisions contribute far more to return outcomes than scheme selection decisions. Which means, how much you invest in equity or debt is more important than which equity or debt scheme. For asset allocation decisions, if you need guidance, SEBI has authorised a category of advisors – known as RIA (Registered Investment Advisor) who you can hire. As per law, they can only earn from you and hence they work in your interest. Besides asset allocation and investment planning, they also guide you on estate planning, insurance planning, expense planning etc. They can further guide you in scheme selection and paperwork.

If you are a self-directed investor and do not need guidance, then we are of the opinion that you, yourself can do the scheme selection. There are several online portals (Zerodha, Groww, Upstox, and many others) who provide reasonable research on schemes and also enable online investments.
So, what about the bankers, brokers, distributors?
We are of the opinion that they play an important role today in helping investors select schemes and execute. However, for this effort, a one-time commission is justifiable. Not year-after-year.

In a nutshell, what we are saying:

1. We don't see any merit in investing in regular plans. The difference between the regular & direct plans of mutual fund schemes is too large to ignore.

2. When it come to investment related decisions, the part which is most important is putting together an investment plan, in line with one's purpose (goals) and personality (risk tolerance). Investing without an investment plan in an ad-hoc manner, is not a good idea.

3. Once your investment plan is in place, selecting the mutual fund scheme is the easier part. It is pointless investing in the more expensive (regular) plan, when a cheaper option (direct plan) of the same scheme, is available.

4. To build a tailor-made investment plan, you will need the services of a fee-based advisor. Since this person earns from you, they will build a plan which is the right fit for you (and not for them). And they can easily guide you on which schemes to invest.

5. If you are online savvy, there are enough and more platforms (MFU, Zerodha, Groww, Upstox and several others) - from where you can purchase the direct plans of the shortlisted mutual fund schemes. They have recently been allowed to charge you a small fee, and that's fine.

6. If you are not online savvy, your fee-based advisor can guide you on how to fill the physical application form. It is worth that little effort.

7. A time will come, when your bank will enable you to invest in direct plans through their net-banking platforms. Currently they only allow investment in regular plans. OR they will start offering you transaction execution service for a fee (as per global best practices)

8. Or check with your broker. Some of them allow investing in direct plans.

Net net - engage a fee-based advisor for conflict-free advice on investment plan and scheme selection, and work out the execution modalities.

WM VS FM

The "Neither-here-nor-there" breed of wealth managers. Are you one of them? Or are you dealing with one of them? Then do read this ..The wealth management industry plays a critical role in ensuring efficient allocation of capital, not just at an individual level, but at an aggregate at a country level.

And like any industry has its sets of issues. I have written ad nauseam about the commission driven nature of the industry as it's biggest scourge - I see this factor as the single biggest contributor of the excesses committed in the last 2-3 years, where the concept of risk was thrown out of the window.

The below Venn chart represents another issue. The circle on the left represents wealth managers and the one on the right represents fund managers. Two distinct professions with different skillsets and career progression. Ideally, while the two professions are joined at the hip, there shouldn't be any reason for overlaps. However there is. A significant number of wealth managers overlap as fund managers and by extension wealth management firms offer fund management solutions.

The intersection - what I refer to as neither-here-nor-there should be steadfastly avoided. While that will omit a very large set of firms, but so be it!

You should be picking one wealth manager (and you just need one) from the non-overlapping section of the left circle. And take this one wealth managers (or wealth management firm) help to allocate funds to the fund managers from the non-overlapping section of the circle on the right.

How to find out? Simply ask the wealth manager who is pitching to you - do they also offer fund management solutions in house?

If you pick up a neither-here-nor-there (NHNT) wealth manager, I am afraid you too will be neither here nor there, as far as your investments are concerned.

And to the NHNT breed - come on guys, millions of investors need you for your core wealth management skill sets. Stick to your core and build a career around it. If the firm you work for is not willing to change, you change the firm OR start on your own.

WHAT-IF

Often in the day-to-day rush, of earning a living & investing whatever one saves, a very important aspect gets missed out on - the unpredictability of our very existence.
Hence, the question "what-if, something were to happen to me now, how do my loved ones get access to my investments, whom do they get in touch with, how do they even start ... " , gets very little consideration.
Either we don't wish to discuss this subject or we don't give it due importance.
Ideally, our wealth managers should be the one's who should ensure this aspect gets prioritized and dealt with, in the right earnest. But from what I have seen, it does not get much attention.

I remember coming across a crazy instance a few years back, where the depository account of a ultra-HNI who had several hundreds of crores in stocks, was held in a single name without any nominee. The broker/wealth manager this person was dealing with was managing the account for the longest time, but none bothered. It was a big red-flag, as god forbid, had something happened to the owner, the Institution would have frozen the account and the family would have had to run from pillar to post. A simple check would have ensured that either a 2nd holder got added and / or a nominee.

Ironically, the very Institution which made huge profits from this person for years during his lifetime, would have perforce turned their backs, post him.

Only in recent times, and that also due to a push from the regulator, this topic has got some attention.

However, here too, the focus of the wealth management industry continues to be on products (wills/trusts) where there is money to be made. And the reason for that is the industry is dominated by the commission-based approach, where the wealth manager earns only if there is an underlying product bought by the client.

On the other hand, this is one of the key focus areas for the fee-based wealth managers. As their focus is on covering every single aspect of their client's lives and their fee gets determined accordingly.

THE CONTROLLABLES AND UNCONTROLLABLES https://www.linkedin.com/posts/ashish-khetan-78391421_the-controllables-and-un-controllables-of-activity-7143179302929436672-DmUg?utm_source=share&utm_medium=member_desktop&rcm=ACoAACxYyW4B-3ncwibrcWHYv9bvvWQt4A6BzEM

The controllables and un-controllables of investing. Like with life in general, when it comes to investing, there are factors within & outside our control. And it's fascinating that just like with life in general, there is far greater focus, a lot more time getting spent on what is not in our control.

I have identified 6 controllable's and 2 un-controllable's. At Serenity Wealth, we prefer to allocate majority of our time & resources on the former.

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1. □□□□□□ □□□□□□ - there is always a toss up between spending all and living a great life in the present OR saving for the rainy day, exigencies, for retirement years. Yes, you live only once (YOLO) but what if you live for long?

2. □□□□□□□□□□□□□□ of asset classes & their return pattern - mainly 2, shares & bonds. Whatever be the vehicle, money eventually gets into these two. Shares or equity's over time have given high returns but can yo-yo +/- 25% (as measured by the statistical number called standard deviation). Bonds yo-yo much less & give far more predictable returns. There is, in general, both a lack of understanding of this basic distinction, and appreciation of the return patterns. Also, many confuse the vehicle with the asset class.

3. □□□□□□□□□□□ □□□□ - □□□□ of us is different - be it circumstances, spending habits, financial needs & goals, personality, ability to deal with uncertainty. And hence □□□□ of us must have a "unique investment plan". The plan has very little to do with markets, it is only about us.

4. □□□□□ □□□□□□□□□□□ - the proportion you decide to allocate between different asset classes. There is a tendency of being highly tactical / opportunistic. Whereas this is a strategic decision directly linked to your investment plan. A small element of tactical play is ok.

5. □□□□-□□ □□□□□□□□ - life is uncertain. Are you well-insured, do you have a good health cover, what-if something were to happen to you, does your spouse know where your investments are, can h/she access them easily, can your investments move to them easily. Highly overlooked!

6. □□□□□□□'□ □□□□□□□ □□□□□ - the regulator clearly says that only those wealth managers be considered as advisors, who earn from you. Rest are commission-agents or distributors. Grossly overlooked factor.

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1. □□□□□□ □□□□□□ - enough and more has been written, even by legendary investors. That it is fool-hardy to try timing. Yet this topic dominates conversations. Unfortunately, the industry adds fuel to fire.

2. □□□□□□ □□□□□□□□□□ - the quest to be in the top-performing schemes all the time is the next big topic of focus. It is a mirage, not worth spending a lot of time on. Pick a few good funds, & let them be. Remember - every dog has his day!

UPFRONT BAN

The scourge of upfronting and its aftermath! If I have to pick one regulatory action which had the maximum impact on the wealth management industry, it would be the banning of the practice of upfronting.

What was this practice all about?
Say a wealth firm agreed to sell a certain fund which in turn agreed to pay 1.5% commission every year. Now instead of getting this income on a yearly basis, the fund would pay say 4.5% upfront. On day one. The only condition was that the investor had to remain invested. So if the firm sold 1000 crores of the fund, it netted a revenue of 45 crores in the year, as against 15 cr each year, over 3 years.

A simple business deal between wealth firm & the fund. Instead of making 1.5% every year, the wealth firm made it upfront. So what could be anybody's problem?

Two problems:First has to do with the accounting principle of revenue recognition. But that's for the auditors to figure.

Second, is what should be our concern: > When so much revenue rides on such funds, there is all round focus to sell the living daylight's out of them. These are like god-sent opportunities for your RMs. With much less effort, they could now cover a large part of their target. Product peddling acquired a far more aggressive, almost toxic avtaar, client interest getting royally compromised along the way.

> This led to a vicious cycle of perverse behaviour, year after year, to the extent that upfront revenue was contributing as high as 60-70% of the wealth firms top line.

Thankfully the market regulator realised what was going on and put an end to it in Feb'2023.
But this meant a sudden hole in the wealth firms balance sheet. Say a firm made 500 crores of revenue in FY 2022-23, of which 200 cr was upfront. Next year, the firm found itself in a hole as they couldn no longer negotiate upfront income on other products.

So what next?Re-base revenue from 300 cr, you made hay while the sun shone, now start afresh.
OR Look for ways to fill the hole.

My guess is that many have continued to look for ways to plug the hole. And that's what you need to be aware of.

Since the past year, a lot of low grade secondary debt papers are being shown around. The wealth firm has no restriction on the commission they can charge (back to upfront) on such deals.

Typically fintech's raising money at very high yields. I have also seen highly complex structured debt deals. While you might want the yield, do you have the ability to understand & monitor the risks. Or does your invetsment plan even require such investments?

Should you be buying one-off papers, or should you follow the principle of diversification & therefore buy into funds, managed by professionals, which invest in a basket of such papers?

OTHERS:

Do not indulge in these … unless you have a dedicated in-house team which can do the due diligence and / or you have large enough sums to build a diversified portfolio.

I am referring to a deluge of secondary high yielding debt papers (referred to as private credit since these transactions are done outside of the formal banking system) being shown around in the private banking / wealth management industry. These are usually highly structured transactions.

If you really wish to allocate money to these, you might as well invest in a private credit fund.

Incidentally, since I am in touch with several single Family Offices, they too prefer to invest through a fund route so that there is a team of professionals, who have a track record, who can monitor the borrowing entity, ensure the security is strong, and can diversify across several transactions.

The private credit industry has grown leaps and bounds since the global financial crisis. As central banks and regulators have restricted access to bank funding, private credit funds have stepped in. They raise money from family offices, HNis and then lend to borrowers who otherwise won't get bank funding.

Given the nature of these transactions, it's best professionals manage this. Brokers or your friendly relationship managers are simply intermediating. They won't know beyond the ABC of these transactions.

That India is a diverse country is an under-statement. The diversity can be both mesmerising and perplexing. The diversity in terms of languages, dialects, customs, can mesmerise. The diversity in terms of living standards, access, income levels, can be perplexing.

Understanding India and its diversity is not easy. The vastness of its population adds to the complexity. Visualising say a million or a crore is in itself an impossible visual - we are talking of a number which is 140 times.

So naturally, there will be bubbles within bubbles. Unless someone makes a conscious effort or their work takes them to the innards of their city or to some of the 6.4 lac village (specially up north), they might remain in their bubble. And their immediate world is really the world for them.

However, when it comes to folks at the helm of Financial Institutions, specially those who are into asset management, those to whom we allocate funds to, for investing in Indian companies, it is expected that they have a better handle on India's diversity. While they might be living and spending most of their day inside a bubble, to do justice to their chosen profession, it is expected that they well-exposed to the country's demographics and differences in living standards.

As else, how will they even evaluate companies? How will they correctly estimate demand for a product / service? How will they assess the opportunities and threats before a company? I am not even getting into elements like empathy or being sensitive. I am simply on "knowing your canvas:" well. Not knowing is a big negative.

So when a known fund manager says India's middle class spends 35-40 lacs a year or a head of a fund says India's health care is compared to the best in the world, it is deeply problematic. I would be hesitant to allocate my money to them!

The two mantras for a serene, fulfilling investing journey*

1. Let professionals do the job - either the fee-only advisor you have retained or the full time professional you have hired on your rolls. Focus on your business, profession, or simply enjoy the fruits of the wealth you have created. Set the cadence for regular reviews.

2. Surrender yourself to the process as prescribed by the investment policy framework. Invest time on putting down this policy framework. Meet as many people from the investment industry at this stage. After that, don’t interfere when it is time to act on the guardrails.If you must apply your intellect, carve out a defined % age and do your thing.

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Debt funds should broadly give you 6-7% return. Unless interest rates change dramatically, you can be reasonably confident of getting this. Equity funds should give double of that - historically they have.There will however be years in between - where equity funds will not give any returns, or will give even negative returns, leaving you wondering if you were better off in debt funds.

There will be years where returns from equity funds could be 20-25%, leaving you wondering why you did not put all your money in equity funds.
Those negative years is when you might decide to move to the comfort of debt funds.

Those high positive years is when you might decide to move your remaining debt funds to equity funds.The thing is, when you make the shift, the trend reverses! When you decide to move to the comfort of debt, equity markets recover. When you move your debt funds to equity, markets correct :(

□□□□ □□ □□? □□□ □□ □□□□ □□□ □□□□?You can't beat the odds. A one in a million chance you will. This game of cat and mouse has been going on for ages. Across the world. And it will continue to.

You got to decide if you wish to become a part of this game OR you wish to stay out.
Staying out doesn't mean not investing. It only means investing with an objective, a clear purpose.
Staying out of this game implies that you are not chasing returns. Instead,

You establish the return you need which can help you achieve your wants. OR If you have adequate savings to last your lifetime and beyond, understand how much volatility you can absorb without panicking.

Build an investment plan in accordance, stick to it, and make adjustments if due to market movements, your portfolio deviates from the plan.

https://www.linkedin.com/posts/ashish-khetan-78391421_how-much-return-you-need-whenever-we-activity-7211315482509901825-M9d6?utm_source=share&utm_medium=member_desktop&rcm=ACoAACxYyW4B-3ncwibrcWHYv9bvvWQt4A6BzEM